

Export Promotion Capital Goods Scheme

DRAFT FOR REVIEW | SCHEME | D031

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The Export Promotion Capital Goods (EPCG) scheme can reduce the import-duty cost of eligible capital goods used for exports. The benefit comes with a defined export obligation. The business should assess the expected duty saving and its ability to meet that obligation together.

Under the Foreign Trade Policy 2023 framework, the ordinary specific export obligation is six times the relevant duties, taxes and cess saved, to be fulfilled over six years from authorisation. Special provisions and later notifications can affect a particular case. The authorisation and applicable Customs notification control the actual benefit.

Match the machinery to the export activity

EPCG covers eligible manufacturer exporters, merchant exporters tied to supporting manufacturers and service providers under its rules. Machinery must fit the permitted capital-goods scope and the activity endorsed in the authorisation. Restricted or excluded items require separate treatment.

Before import, prepare the machinery description, classification, supplier quotation, proposed installation location and the goods or services to be exported. The expected duty calculation needs the applicable Customs provisions; “zero duty” should not be treated as a complete landed-cost estimate.

Understand both export tests

The specific obligation relates to duty saved. The policy also provides for an average export obligation in applicable cases, based on the preceding export history. Meeting a sales forecast is therefore not necessarily the same as meeting the authorisation’s export conditions.

Model the export schedule against the relevant products, previous performance and eligible evidence. Do not count a shipment merely because it is an export by the group. Its attribution to the authorisation and compliance with the relevant conditions need to be established.

Keep evidence through the full life of the authorisation

Retain the authorisation, import documents, duty-saved calculation, installation evidence, machinery particulars and export records. Shipping documents and realisation evidence should support the discharge working. The actual-user condition continues until the export obligation is completed and the discharge certificate is granted.

Where exports fall short or project plans change, assess the available extension, regularisation or payment route under the rules applicable to that authorisation. An unfulfilled obligation can reverse the financial advantage, so review progress while corrective options remain available.

Read [Foreign Trade Policy 2023, Chapter 5](#). EPCG is a trade-policy authorisation with continuing obligations; it should be assessed separately from a state capital or interest subsidy.

Discuss the next step

For help assessing the project and preparing the applicable subsidy work, see [Subsidy & Incentive Advisory](#).

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1. Foreign Trade Policy 2023, Chapter 5

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